CLOSING STATEMENT

Garnet Cottages | Seattle, WA

Property	Garnet Cottages
Settlement Date	January 20, 2019
Buyer	Beacon Hollow Investors
Seller	Redfern Holdings LP
Sale Price	$41,080,000

Settlement Statement - Itemized Charges

Description	Buyer Debit	Buyer Credit	Seller Debit	Seller Credit
Purchase price	$41,080,000			
Earnest money deposit		$219,429	$219,429	
Real estate tax proration	$276,027			$276,027
Rent proration			$326,231	
Security deposits assumed	$39,439	$39,439		
Prepaid rents			$235,525	$235,525
Owner's title policy premium	$146,845			
Lender's title policy premium		$280,389	$280,389	
Escrow fee	$392,241			$392,241
Recording fees			$360,355	
Transfer tax	$79,138	$79,138		
Survey			$314,617	$314,617
Legal fees - Buyer	$72,453			
Legal fees - Seller		$400,887	$400,887	
Broker commission	$212,073			$212,073
Loan origination fee			$318,334	
Lender legal	$157,982	$157,982		
Appraisal fee			$14,433	$14,433
Environmental report	$121,134			
Property condition report		$294,608	$294,608	
Tax escrow deposit	$38,798			$38,798
Insurance escrow deposit			$230,496	
Replacement reserve deposit	$280,940	$280,940		

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Settlement Statement - Itemized Charges

Description	Buyer Debit	Buyer Credit	Seller Debit	Seller Credit
Legal fees - Buyer	$41,080,000			
Legal fees - Seller		$63,559	$63,559	
Broker commission	$338,449			$338,449
Loan origination fee			$67,380	
Lender legal	$187,625	$187,625		
Appraisal fee			$358,562	$358,562
Environmental report	$253,810			
Property condition report		$108,755	$108,755	
Tax escrow deposit	$395,737			$395,737
Insurance escrow deposit			$179,951	
Replacement reserve deposit	$179,625	$179,625		
Utility deposits			$324,771	$324,771
Assumed vendor contracts credit	$213,991			
Tenant improvement credit		$46,206	$46,206	
Courier / wire fees	$360,812			$360,812
Municipal certificates			$252,062	
Purchase price	$220,979	$220,979		
Earnest money deposit			$352,339	$352,339
Real estate tax proration	$279,011			
Rent proration		$387,923	$387,923	
Security deposits assumed	$223,553			$223,553
Prepaid rents			$61,689	
Owner's title policy premium	$195,401	$195,401		
Lender's title policy premium			$153,001	$153,001
Escrow fee	$227,622			
Recording fees		$365,329	$365,329	
Transfer tax	$25,234			$25,234
Survey			$69,697	

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Income and Expense Review

Debt service coverage ratio was 6.86x on a trailing basis against a covenant minimum of 1.20x. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. Net operating income is projected to grow at a compound annual rate of 6.6% over the hold period. The going-in capitalization rate of 6.87% reflects the in-place income and the stabilized occupancy assumption.

Operating expenses totaled $472,000 or approximately 15.19 per square foot, with real estate taxes representing the largest line item. Homes average 1,161 square feet with average monthly rent of $2,161. Turn costs average $402,000 per home, and the in-house maintenance team handles most work orders within 43 days. Effective gross income for the trailing period was $67,000, representing a 10.1% increase over the prior year. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

Financial Analysis

Turn costs average $205,000 per home, and the in-house maintenance team handles most work orders within 35 days. Management fees are calculated at 7.3% of collected revenue and are included in operating expenses. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The going-in capitalization rate of 6.06% reflects the in-place income and the stabilized occupancy assumption.

The going-in capitalization rate of 5.30% reflects the in-place income and the stabilized occupancy assumption. Effective gross income for the trailing period was $281,000, representing a 2.0% increase over the prior year. Operating expenses totaled $468,000 or approximately 40.73 per square foot, with real estate taxes representing the largest line item. Homes average 1,161 square feet with average monthly rent of $2,161. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

Financial Analysis

The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. Homes average 1,161 square feet with average monthly rent of $2,161. Turn costs average $370,000 per home, and the in-house maintenance team handles most work orders within 7 days. The going-in capitalization rate of 5.37% reflects the in-place income and the stabilized occupancy assumption. Net operating income is projected to grow at a compound annual rate of 3.9% over the hold period.

Operating expenses totaled $42,000 or approximately 30.60 per square foot, with real estate taxes representing the largest line item. Turn costs average $379,000 per home, and the in-house maintenance team handles most work orders within 28 days. Effective gross income for the trailing period was $118,000, representing a 6.7% increase over the prior year. The going-in capitalization rate of 7.14% reflects the in-place income and the stabilized occupancy assumption.

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Settlement Statement - Itemized Charges

Description	Buyer Debit	Buyer Credit	Seller Debit	Seller Credit
Assumed vendor contracts credit	$41,080,000			
Tenant improvement credit		$264,499	$264,499	
Courier / wire fees	$105,967			$105,967
Municipal certificates			$25,633	
Purchase price	$143,001	$143,001		
Earnest money deposit			$120,359	$120,359
Real estate tax proration	$209,839			
Rent proration		$53,659	$53,659	
Security deposits assumed	$183,006			$183,006
Prepaid rents			$196,402	
Owner's title policy premium	$169,956	$169,956		
Lender's title policy premium			$320,296	$320,296
Escrow fee	$178,803			
Recording fees		$287,592	$287,592	
Transfer tax	$30,725			$30,725
Survey			$151,387	
Legal fees - Buyer	$74,014	$74,014		
Legal fees - Seller			$109,626	$109,626
Broker commission	$171,368			
Loan origination fee		$28,402	$28,402	
Lender legal	$42,575			$42,575
Appraisal fee			$204,881	
Environmental report	$348,362	$348,362		
Property condition report			$301,806	$301,806
Tax escrow deposit	$136,832			
Insurance escrow deposit		$34,162	$34,162	
Replacement reserve deposit	$112,239			$112,239
Utility deposits			$272,984	

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Financial Analysis

The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. Turn costs average $437,000 per home, and the in-house maintenance team handles most work orders within 3 days. The going-in capitalization rate of 5.25% reflects the in-place income and the stabilized occupancy assumption. Effective gross income for the trailing period was $316,000, representing a 5.9% increase over the prior year.

Debt service coverage ratio was 8.04x on a trailing basis against a covenant minimum of 1.20x. Turn costs average $15,000 per home, and the in-house maintenance team handles most work orders within 30 days. Homes average 1,161 square feet with average monthly rent of $2,161. Management fees are calculated at 3.6% of collected revenue and are included in operating expenses. Effective gross income for the trailing period was $425,000, representing a 9.1% increase over the prior year.

Operating Performance

Management fees are calculated at 4.4% of collected revenue and are included in operating expenses. Debt service coverage ratio was 7.05x on a trailing basis against a covenant minimum of 1.20x. The going-in capitalization rate of 6.16% reflects the in-place income and the stabilized occupancy assumption. Homes average 1,161 square feet with average monthly rent of $2,161. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Operating expenses totaled $113,000 or approximately 44.51 per square foot, with real estate taxes representing the largest line item. Debt service coverage ratio was 6.62x on a trailing basis against a covenant minimum of 1.20x. Homes average 1,161 square feet with average monthly rent of $2,161. Effective gross income for the trailing period was $436,000, representing a 2.5% increase over the prior year.

Operating Performance

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. The going-in capitalization rate of 7.41% reflects the in-place income and the stabilized occupancy assumption. Effective gross income for the trailing period was $95,000, representing a 13.3% increase over the prior year. Management fees are calculated at 3.1% of collected revenue and are included in operating expenses.

Debt service coverage ratio was 6.68x on a trailing basis against a covenant minimum of 1.20x. Net operating income is projected to grow at a compound annual rate of 4.8% over the hold period. Turn costs average $312,000 per home, and the in-house maintenance team handles most work orders within 8 days. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. Management fees are calculated at 4.5% of collected revenue and are included in operating expenses.

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Settlement Statement - Itemized Charges

Description	Buyer Debit	Buyer Credit	Seller Debit	Seller Credit
Escrow fee	$41,080,000			
Recording fees		$84,920	$84,920	
Transfer tax	$389,936			$389,936
Survey			$80,690	
Legal fees - Buyer	$209,715	$209,715		
Legal fees - Seller			$331,244	$331,244
Broker commission	$352,197			
Loan origination fee		$325,005	$325,005	
Lender legal	$163,647			$163,647
Appraisal fee			$173,928	
Environmental report	$390,422	$390,422		
Property condition report			$409,393	$409,393
Tax escrow deposit	$164,346			
Insurance escrow deposit		$255,752	$255,752	
Replacement reserve deposit	$386,306			$386,306
Utility deposits			$55,967	
Assumed vendor contracts credit	$347,033	$347,033		
Tenant improvement credit			$98,874	$98,874
Courier / wire fees	$197,481			
Municipal certificates		$247,941	$247,941	
Purchase price	$27,006			$27,006
Earnest money deposit			$119,356	
Real estate tax proration	$312,713	$312,713		
Rent proration			$186,269	$186,269
Security deposits assumed	$219,629			
Prepaid rents		$135,489	$135,489	
Owner's title policy premium	$162,206			$162,206
Lender's title policy premium			$208,512	

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Valuation Discussion

Debt service coverage ratio was 7.83x on a trailing basis against a covenant minimum of 1.20x. Net operating income is projected to grow at a compound annual rate of 4.8% over the hold period. The going-in capitalization rate of 6.67% reflects the in-place income and the stabilized occupancy assumption. Management fees are calculated at 4.4% of collected revenue and are included in operating expenses. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

Effective gross income for the trailing period was $25,000, representing a 10.7% increase over the prior year. Homes average 1,161 square feet with average monthly rent of $2,161. Turn costs average $400,000 per home, and the in-house maintenance team handles most work orders within 14 days. The going-in capitalization rate of 6.85% reflects the in-place income and the stabilized occupancy assumption. Management fees are calculated at 5.0% of collected revenue and are included in operating expenses.

Valuation Discussion

Net operating income is projected to grow at a compound annual rate of 7.9% over the hold period. Debt service coverage ratio was 5.88x on a trailing basis against a covenant minimum of 1.20x. The going-in capitalization rate of 7.96% reflects the in-place income and the stabilized occupancy assumption. Effective gross income for the trailing period was $387,000, representing a 6.9% increase over the prior year. Turn costs average $103,000 per home, and the in-house maintenance team handles most work orders within 26 days.

The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. Homes average 1,161 square feet with average monthly rent of $2,161. Management fees are calculated at 5.1% of collected revenue and are included in operating expenses. Turn costs average $106,000 per home, and the in-house maintenance team handles most work orders within 44 days. Effective gross income for the trailing period was $461,000, representing a 13.3% increase over the prior year. Operating expenses totaled $306,000 or approximately 15.65 per square foot, with real estate taxes representing the largest line item.

Income and Expense Review

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The going-in capitalization rate of 5.29% reflects the in-place income and the stabilized occupancy assumption. Operating expenses totaled $110,000 or approximately 8.07 per square foot, with real estate taxes representing the largest line item. Homes average 1,161 square feet with average monthly rent of $2,161. Effective gross income for the trailing period was $350,000, representing a 3.4% increase over the prior year.

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Turn costs average $142,000 per home, and the in-house maintenance team handles most work orders within 9 days. The going-in capitalization rate of 5.40% reflects the in-place income and the stabilized occupancy assumption. Management fees are calculated at 5.1% of collected revenue and are included in operating expenses.

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Signatures

IN WITNESS WHEREOF, the parties have executed this instrument as of the date first written above.

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Garnet Cottages Owner LLC

By: Hector Kowalski Title: Manager Date: 01/20/2019

_____

Raymond Foster

By: Daniel Underwood Title: Manager Date: 01/20/2019

Exhibit A - Property

Garnet Cottages, 9208 Market Court, Seattle, WA 24878. Parcel containing approximately 12.63 acres, together with all improvements thereon.

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